



NYKAA IPO MARKET HYPE OR FINANCIAL REALITY?

A FIVE-YEAR RETROSPECTIVE ANALYSIS (2021–2026)

Prepared By

Apurvi Bajpai

US CMA | B.COM Graduate

Project Type

Equity Research & Analysis

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EXECUTIVE SNAPSHOT

Case Study

Nykaa IPO

Project Type

Equity Research & Analysis

Business Question

Was Nykaa's IPO valuation justified?

Period

FY2021–FY2025

Tools

Excel

Power BI

Financial Statement Analysis

Expected Output

Investment Memo

Dashboard

Recommendation

PROJECT OVERVIEW

BACKGROUND

In 2021, Nykaa became one of India's most talked-about IPOs. The company entered the stock market at a premium valuation and received an overwhelming response from investors. As a fast-growing beauty and lifestyle platform with a strong digital presence, Nykaa represented the excitement surrounding India's growing startup ecosystem.

However, over the next few years, the stock price corrected significantly despite the company's continued business growth. This raised an interesting question for investors:

Was Nykaa's IPO valuation justified by its financial performance, or was it driven more by market optimism?

As someone building practical financial analysis skills, I wanted to explore this question using publicly available financial data instead of relying on opinions or market sentiment. By analyzing financial statements, operating metrics, and valuation indicators over a five-year period, this project aims to determine whether Nykaa's long-term business performance justified the premium investors were willing to pay in 2021.

PROJECT DETAILS

Company	Nykaa (FSN E-Commerce Ventures Ltd.)
Company Type	Public Listed Company
Industry	Beauty & Lifestyle Retail
Role	Equity Research Analyst
Analysis Period	FY2021–FY2025
Tools	Excel, Power BI
Outcome	Investment Recommendation

BUSINESS PROBLEM & OBJECTIVES

BUSINESS PROBLEM

When Nykaa launched its IPO in 2021, investors valued the company at a significant premium compared to many traditional retailers. While the company had demonstrated impressive revenue growth, questions remained about profitability, cash generation, and whether such a high valuation was sustainable in the long run.

Five years later, enough financial data is available to revisit that decision. This project analyzes whether Nykaa's business performance ultimately supported the valuation investors were willing to pay at the time of listing.

KEY QUESTION

DID NYKAA'S FINANCIAL PERFORMANCE BETWEEN FY2019 AND FY2025 JUSTIFY THE PREMIUM VALUATION INVESTORS ASSIGNED DURING ITS 2021 IPO?

PROJECT OBJECTIVES

Objective	Why it Matters
Analyze revenue growth	Understand how quickly the business expanded
Evaluate profitability	Check whether growth translated into earnings
Study operating efficiency	Measure improvements in business performance
Compare valuation with peers	Assess whether Nykaa traded at a premium
Review expectations vs reality	Compare IPO assumptions with actual outcomes
Form an investment opinion	Conclude whether the IPO valuation was justified

COMPANY SNAPSHOT

Particular	Details
Company Name	FSN E-Commerce Ventures Ltd.
Brand	Nykaa
Founded	2012
Founder	Falguni Nayar
Headquarters	Mumbai, India
Industry	Beauty, Personal Care & Fashion Retail
Business Model	Omnichannel Retail (Online + Offline)
Listed On	NSE & BSE
IPO Year	2021

BUSINESS MODEL

Brands → Nykaa Platform→ Website + Mobile App + Physical Stores → Customers → Revenue

REVENUE STREAMS

Segment	Description
Beauty	Cosmetics, skincare, haircare, wellness
Fashion	Apparel, accessories, footwear
Physical Retail	Nykaa stores across India
Private Labels	Nykaa-owned brands with higher margins

PROJECT METHODOLOGY

Business Research



Data Collection



Data Cleaning



Financial Analysis



Ratio Analysis



Power BI Dashboard



Investment Memo



Recommendation

RESEARCH SOURCES

Source	Purpose
Annual Reports	Financial Statements
Investor Presentations	Business Updates & KPIs
IPO Prospectus (DRHP/RHP)	IPO Details & Risk Factors
Screener.in	Historical Financial Data
Money control	Stock Price & Market Data
NSE/BSE	Shareholding & Listing Information

SCOPE & KPIS

SCOPE

- Revenue Analysis
- Profitability Analysis
- Ratio Analysis
- IPO Valuation Review
- Peer Comparison
- Investment Recommendation

KPIS

Growth	Profitability
Revenue Growth	EBITDA Margin
GMV Growth	Net Profit Margin
Customer Growth	ROE
Order Growth	ROA

Efficiency	Valuation
Asset Turnover	P/S Ratio
Revenue per Customer	EV/Sales
Revenue per Order	Market Cap
Inventory Turnover	IPO vs Current Price

EXPECTED DELIVERABLES

Deliverable	Purpose
Excel Model	Financial calculations and analysis
Power BI Dashboard	Visualize trends and KPIs
Investment Memo	Present investment recommendation
Executive Summary	Highlight key findings
README	Explain the project and workflow

SUCCESS CRITERIA

- Accurate financial analysis using publicly available data.
- Clear and professional visualizations.
- Recommendations supported by evidence.
- A project that demonstrates practical equity research skills suitable for an entry-level finance portfolio.

PERSONAL REFLECTION

Before starting this project, I knew Nykaa mainly as a successful beauty brand. While reading about its IPO, I noticed that many discussions focused on the stock price rather than the company's financial performance. That made me curious to understand the difference between a good business and a highly valued stock.

As a commerce graduate and US CMA, I wanted to move beyond textbook concepts and strengthen my practical financial analysis skills by working on a real company. Rather than simply studying financial statements, I wanted to understand how analysts evaluate business performance, interpret valuation, and communicate investment decisions using data. Through this project, my goal is to develop the mindset of an equity research analyst who supports conclusions with evidence rather than assumptions.